



FTSE All-Share A combination of the FTSE 100, 250, and SmallCap, the FTSE All-Share Index gives a broader overview of how public companies on the LSE are performing.

FTSE Fledgling The FTSE Fledgling Index comprises around 200 companies that are smaller than those on the FTSE All-Share but still qualify for a listing on the Main Market.

Alternative Investment Market

The Alternative Investment Market (AIM) is designed for companies that issue shares and sell them on the LSE, but find it hard to meet the Main Market's strict regulations. In AIM Rules, for example, unlike in Main Market Rules, there are no requirements for companies to be of a minimum size or have an established trading record. This makes it possible for companies that are at an earlier stage of their business development to join the public markets.

Also referred to as the “junior market”, AIM was launched in 1995 to give these smaller companies the opportunity to raise money from investors. There are around 1,450 companies listed on AIM, and they are divided into three categories:

FTSE AIM UK 50 Index The top 50 UK companies.

FTSE AIM 100 Index The top 100 companies.

FTSE AIM All-Share Index All the companies listed on AIM.

Regulation

Activities on the LSE are regulated by a branch of the Financial Services Authority (FSA) called the UK Listing Authority (UKLA). Any company that applies for listing on the LSE has to go through the UKLA for approval, and must meet certain eligibility criteria. Requirements differ depending on what type of listing a company wishes to have. The more elevated the listing – with the Main Market at the top – the more stringent the UKLA's eligibility review process.

HEDGE FUNDS

Hedge funds are an investment option that can offer potentially huge returns, although they are also high risk. A hedge fund puts money into a wide variety of financial products, including shares, bonds, and a more complex category of assets called derivatives – options, warrants, futures, and swaps, for example. Anything that the fund manager anticipates will turn a profit is a potential target, regardless of the current economic situation. There are few controls over the types of investments a hedge fund manager can make, which means they are high risk.

Where other types of investments try to outperform a particular index, such as the FTSE, hedge funds are designed with the aim of simply producing a profit. This means that investors rely solely on the skill of the hedge fund manager in deciding on an investment strategy and choosing the most lucrative mix of financial products. Fund manager fees are usually around 2 per cent, plus an additional 20 per cent performance fee.

Until recently, hedge funds were reserved for the super rich or financial institutions, since millions were required as the minimum spend. However, private investors in the UK with more modest budgets can now put their money into a “fund of funds”, which pools money from numerous investors and spreads it across several hedge funds in order to minimize risk. In the UK, the marketing of these funds is restricted to protect small private investors, and there is little recourse if things go wrong, unless the manager is registered with the FCA.